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The Influence of Risk Management on the Financial Performance of Listed Insurance Companies in Nigeria

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ABSTRACT
This study examined the impact of risk management on the financial performance of listed insurance companies in Nigeria. The study specifically examined the extent to which operational risk and liquidity risk influence the return on asset of listed insurance companies in Nigeria. A sample size of the 25 listed insurance companies was selected which is equally the population of the study. The study made use of secondary data. The data were obtained from the annual reports of the insurance companies and Nigeria Stock Exchange (NSE) fact book from the year 2011-2017. Data collected was analyzed using descriptive and inferential statistics. The descriptive statistics used include meaning, standard deviation, minimum and maximum values while the inferential statistics used were Pearson movement correlation coefficient and multiple linear regression analysis. The result of the correlation analysis revealed that all the variables have a relationship with each other. Also, the results of regression analysis revealed that operational risk positively influenced the financial performance of listed insurance companies with a coefficient of 0.0316899 and a p-value of 0.0000 significant at 5%. Similarly, liquidity risk also showed a positive influence on the financial performance of listed insurance companies with a coefficient of 0.0123241 and a p-value of 0.010. Therefore, the study concluded that risk management significantly influenced the financial performance of listed insurance companies in Nigeria.

Keywords: *Risk Management, Operational Risk, Liquidity Risk, Credit Risk, Return of Asset*

INTRODUCTION

The quality of the environment in which a firm operates affects its value by impacting the cash flow rights of and/or the risks endured by the firm's stakeholders (La Porta, Lopez, Shleifer & Vishny, 2002). According to Fields, Gupta, and Prakash (2012), investor's coverage, government good worth, and contract compulsion may alter the risk exposure of insurance companies uniquely in contrast to how they do influence industrial companies. [1-4]

Specifically, lenders and investors are viewed as the essential partners in the industrial companies, yet insurance companies should likewise consider the requirements of a third partner named policyholders.

Risk management has been connected with the maximization of the shareholder value proposition which is also a function of a company's performance. Furthermore, Fatemi and Luft (2002), recommended that an organization will possibly embrace risk management if it upgrades investor's worth. Banks (2004) additionally contributed to the discourse by stating that it is significant for each organization to retain and effectively deal with some dimension of risk in an attempt to expand its estimated worth or if the likelihood of monetary inconvenience is to be decreased. Pagano (2001), further reiterated that risk management is a significant capacity of insurance organizations in building up an incentive for investors and clients. Therefore, a great risk management framework is profoundly pertinent in giving better incomes to the investors (Al-Tamimi & Al-Mazrooei, 2007).[5-8]

An essential everyday task of any insurance company is proper risk management to avoid financial losses and liquidation. According to Jolly (2007), the evasion of misfortunes through prudent steps is a key component in limiting risks and it is also the key driver to positive monetary execution.

According to Osinuga (2016), the principal idea of protection is to spread risk. Insurance encourages venture by decreasing the measure of assets organizations and people need to keep close by to shield themselves from erratic results. Despite the upsides of insurance for monetary development, the gross premium gathered by insurance agencies in Nigeria is about 1.9 billion United States Dollars contrasted with the 3.8 billion United States Dollars net premium earned in South Africa (Osinuga, 2016).[9-12]

According to NAICOM (2012), the performance of the insurance business in Nigeria isn't good enough. The sector is experiencing income issues; the failure to settle their cases and need investible assets. Because of this horrible showing, investors have pushed away because no financial specialist is prepared to wander into a venture that its operation shows poor performance. As indicated by NAICOM, protection infiltration recorded an expansion from 4.3% in 2006 to around 0.5 percent in 2008 and dropped to 0.3 percent in 2014; which is lower than the African normal of 2.8 percent. What's more, all out capitalization of the business developed from N200 billion (US$1.36 billion) in 2006 to N550 billion (US$3.74 billion) in 2008, while net premium likewise improved from N94 billion (US$639.4m) to about N180 billion (US$1.23 billion). This development is that as it may, is unimportant considering the objective of N60 trillion (US$400.81 billion) by 2020 set by the NAICOM. The low capital arrangement, lacking administration of hazard, poor usage of imperative strategies and ecological limitations are considered to have contrarily sway on development possibilities of Nigeria protection industry.[13-16]

Base on the observation of this study researcher, in 2017, there was a fall in ROA of listed insurance companies in Nigeria. An example is the ROA of AIICO Insurance Company which was 0.13 in 2016 and fell to 0.01 in 2017. This is attributed to the low management of certain risks in the insurance companies such as operational risk, liquidity risk, market risk, credit risk, and so on. This study focused primarily on the determination of the influence of operational risk, liquidity risk, and credit risk on the financial performance of listed insurance companies in Nigeria.[17-20]

CONCEPTUAL FRAMEWORK

Risk Management

Risk management deals with identifying, evaluating, prioritizing risks (characterized in ISO 31000 as the impact of uncertainty on goals) influenced by facilitated and practical utilization of assets to diminish, screen, and control the probability or effect of awful occasions or to profit by the acknowledgment of chances. According to

Lodewijk (2015), risk management has been in presence for endless periods. Risk management is overseen by experience, impulse, and premonition. Being pushed by the financial problems arising from the dot-com boom and bust at the end of the last century, things began to change. It is as a result of the crisis that prompted unequivocal arrangements of guidelines for exact areas. For the banking sector Basel III and the insurance sector, the Solvency Directive was formed. Every one of these sets envelops guidelines concerning the volume of risk organizations are passable to take and monetary obstructions organizations need to guarantee their steadiness.[21-24]

Operational Risk

According to Chipa and Wamiori (2017), the foremost type of operational risk is the disappointment of inner controls and corporate administration. Disappointments that can prompt budgetary misfortunes through mistake, misrepresentation, or disappointment in the utilization of commitments in a reasonable way or that could bargain the truth of the element here and there. This could include all dimensions of the association that outperforms its power or lead unscrupulous and dangerous practices. Different parts of operational risk incorporate frameworks disappointments in data innovation, or occasions, for example, fires and different fiascos (Ai & Brockett, 2008). The dominant part of monetary organizations apportions the duty of overseeing operational hazard to directors in the specialty units, it in this manner important to build up the incitement structures and procedures for best practices (Chipa & Wamiori, 2017).[25,26]

As indicated by NAICOM (2012), risk management guideline functioning operational risk is the danger of misfortune from insufficient or bombed inside procedures, from individuals and frameworks, or from outside occasions that emerges from the capability of deficient data frameworks, operational issues, breaks in inner controls, misrepresentation, or unanticipated calamities which would result to sudden misfortunes. Organizations ought to have approaches set up to cover chance that may emerge from staffing issues in the part of detailing line, assignment, the reasonableness of worker, consistency culture, human resource practice, representative compensation, nature of preparing and re-appropriating staff course of action (NAICOM, 2012). Organizations' arrangements ought to likewise consider procedure and framework issues to address territories, for example, dealings for averting framework disappointment, strategies to follow administrative prerequisites, measures for business congruity, inward and outside documentation procedure and audit, reliance and dependability of information technology frameworks, nature of IT backing and upkeep, IT security secrecy, information respectability and approved access (NAICOM, 2012).[27-30]

Liquidity Risk

As indicated by Gerald and Ulrike (2001), liquidity risk is the risk of not being able to meet a required debt obligation as at when due. It further liquidity of speculation to be how rapidly and to what degree it tends to be changed over into money. The capacity to change over the venture into money is, be that as it may, reliant on a few variables which affect the likelihood of the liquidity risk.

As mentioned by NAICOM (2012) liquidity risk means the inability of a company to have sufficient income to meet its operational and monetary installment commitments on account of its powerlessness to sell resources or acquire financing. Organizations ought to have the option to set up a report which ought to be submitted to their administration all the time giving a liquidity outline, covering a proper timeframe, looking at anticipated inflows and outpourings, and indicating the suspicions. The management is relied upon to consider moves that would be made in case of liquidity squash and archive the alternate courses of action that will be utilized.

Credit Risk

According to ICAN (2014), credit risk is the danger of misfortunes from terrible obligations or deferrals by customers in the repayment of their obligations. Organizations that take part in offering credit to customers are presented with credit risk. The size of such credit risk relies upon the measure of receivables owed to the organization, and the credit perfection of the clients (Ican, 2014).

This is the risk that the counterparty will dodge installment or neglect to play out an obligation to the organization. Backup plan and reinsurers ought to set up a framework for directing due persistence on the credit value of any gathering to which they have credit contact. Organizations should set points of confinement of credit contact and ought to have a procedure for checking and controlling such contact (NAICOM, 2012).

The Financial Performance of Insurance Companies

The client's insurance arrangements do trouble the money-related execution of an insurance company as they include both pay and cost components to the association (Amaya & Memba, 2015). Academic data identifying the financial performance of insurance companies, estimated as far as benefits and speculations utilizing yearly turnover, guaranteeing gainfulness, return on resources, the net premium earned, and return on value are in presence. The presentation is much of the time emotional by choices made by the board and the size of the organization (Amaya & Memba, 2015). Measuring the financial performance of a listed insurance company in this study, Return on Asset was be adopted.

Financial terms of the performance of insurance are ordinarily communicated in net premium earned, benefit from endorsing exercises, yearly turnover, degree of profitability, and profit for value (Yuvaraj & Abate, 2013). These stated measures could be recognized as benefit performance measures and investment performance measures. Notwithstanding, most researchers in the field of insurance area expressed that the key marker of an organization's exhibition is ROA which is characterized as before expense benefits partitioned by all-out resources.

EMPIRICAL REVIEW

In a developed country context, a study conducted by Hussein and Karl (2013) in the United States investigated the impact of risk-taking on bank financial performance during the 2008 financial crisis. The study used descriptive and inferential statistics to test the hypotheses over the four years 2006-2009 that length the money-related emergency. The example comprised of 74 bank holding organizations (BHCs) in the United States with complete resources close to $5.8 trillion toward the finish of 2006. These enormous BHCs represent a significant extent (52%) of the aggregate sum of banking resources in the United States. Every one of these BHCs had complete resources in the abundance of $3 billion toward the finish of 2006. Be that as it may, the investigation found a noteworthy connection between BHCs' risk-taking dimensions and their monetary exhibition.

BHCs with lower risk-taking dimensions were found to have higher normal monetary execution than BHCs with higher hazard-taking dimensions from 2006 to 2009. The examination's discoveries bolstered the case that hazard influenced the profit of the BHCs during the monetary emergency. The outcomes recommended that risk-taking added to the 2007-2008 monetary emergencies, and that forceful risk-taking was a significant supporter of the ongoing budgetary emergency. In the examination, the financial performance of the banks was estimated by the return on assets (ROA) determined as the bank's all-out total compensation separated by its normal all-out resources and return on equity (ROE) determined as the bank's complete overall gain before unprecedented things isolated by its normal investors' value yet there was no unmistakable documentation of the hazard markers in the investigation.

Kinyua, Gakure, Gekara, and Orwa (2015) determined the effects of risk management on the financial performance of companies quoted on the Nairobi Securities Exchange (NSE). The population chosen for the study was all 62 companies quoted in NSE. The information was investigated employing a statistical package for social scientists (SPSS) PC programming rendition 21.0. The study reasoned that there exists a critical relationship between risk management and financial performance and that the core interest should move from a compliance and financial control function to facilitating organizations to proactively identify, assess and control risks.

Sisay (2017) examined the effect of financial risk on the performance of insurance companies in Ethiopia. The study used a balanced panel model to examine the regression model and data were collected from 8 insurance companies covering the period of sixteen (16) consecutive years, 2000-2015. To this end, the study employed a mixed-method research approach with the combination of documentary analysis and unstructured in-depth interviews. The study used a dependent variable return on asset (ROA), six independent variables that are credit risk, liquidity risk, reinsurance risk, solvency risk, technical provisions risk, and underwriting risk. The regression result shows that credit risk, liquidity risk, solvency risk, underwriting risk, and technical provisions risk has a negative and significant effect at 1% and 5% significance levels on the performance of insurance companies in Ethiopia, whereas reinsurance risk has an insignificant effect at 5% significance level on the performance of insurance companies. The research concluded that financial risk has a significant effect on the performance of Ethiopian insurance companies.

Junaidu and Sunusi (2014) survey the impact of credit risk management (CRM) on the benefit of Nigerian banks. The examination tends in finding the degree to which default rate (DR), cost per loan (CLA), and capital adequacy ratio (CAR) impact return on assets (ROA) as a proportion of banks' benefit. Auxiliary information was utilized through the yearly reports of cited banks from 2002 to 2011. Discoveries demonstrate that CRM has a huge constructive outcome on the benefit of Nigerian banks as shown by the coefficient of conclusions R2 esteem which demonstrates the inside and between estimations of 40.89% and 58.35% (which are great) while the general R2 is 43.91%, demonstrating that the factors considered in the model record for about 44% change in the reliant variable, that is, productivity. The study, therefore, concluded that there is a significant positive relationship between CRM and the profitability of Nigerian banks. Two independent variables, DR ratio, and CLA ratio indicated a clear and strong positive relationship with the independent variable ROA. These two independent variables are influenced by loan losses, operating expenses, and the proportion of non-performing loans which are the key determinants of the asset quality of a bank.

Oyerogba, Ogungbade, and Idode (2016) examined the relationship that exists between the risk management practices and financial performance of the listed companies in Nigeria for the time of ten years from 2005 to 2014, with specific consideration on the 21 deposit money banks. The number of inhabitants in the investigation was likewise the example measure for the examination. The investigation received both the essential (review survey) and auxiliary (inspected budget summary) as wellsprings of information for the examination. Information investigation was directed utilizing both spellbinding and inferential measurements. The outcomes uncover that risk management practices have a measurably critical effect on financial performance.

RESEARCH HYPOTHESES

Research conducted in Nigeria by Adeusi, Akeke, Aribaba, and Adebisi (2013), Junaidu and Sunusi (2014), and Oyerogba, Ogungbade, and Idode (2016) all focused on the banking sector in Nigeria. This study, therefore, focused on the insurance sector which comprises the entire listed insurance companies in Nigeria. The study was also investigated from 2011 to 2017. The year 2011 was selected because 2009 was the last time an insurance company got listed on the Nigeria Stock Exchange. It is therefore believed that, after two years of listing, a company should have a published financial statement. It is with this the study formulated the following hypotheses:

H_01: operational risk does not have any significant influence on the financial performance of listed insurance companies in Nigeria.
H_02: liquidity risk does not have any significant influence on the financial performance of listed insurance companies in Nigeria.
H_03: credit risk does not have any significant influence on the financial performance of listed insurance companies in Nigeria.

METHODOLOGY

A quantitative design was adopted as the research design in this study. The financial statements of quoted insurance companies would be used to determine their financial performance over the years 2011-2017. The year 2011 was selected because 2009 was the last time an insurance company got listed on the Nigeria Stock Exchange. It is therefore believed that, after two years of listing, a company should have a published financial statement. The target population of this study is the 25 quoted insurance companies in Nigeria as of 2017. Purposive sampling was adopted for the sampling technique. This was adopted because of the intention to cover the entire population. There are only 25 listed insurance companies on the Nigerian Stock Exchange as of 31st December 2017 when the study commenced. Bearing in mind the relatively little size of this populace, the choice to cover the whole populace was made. The researcher made use of secondary data which is financial statements and annual reports of 25 quoted insurance companies from the Nigeria Stock Exchange. Hence, the study made use of the econometric model to identify and measure the impact of risk management on the financial performance of Nigerian listed insurance companies. The study adopted descriptive statistics tools and panel corrected standard errors estimator. While the descriptive statistics tool was used for preliminary analysis, the PCSE was used to estimate the influence of risk management on the financial performance of listed insurance companies in Nigeria. The choice of PCSE is informed by the nature of the data (panel) and the result of a residual diagnostic test.

The regression model analysis was adopted for data analysis. The multiple linear regression models stands in form of $Y_i = \alpha + \beta_1X_1 + \beta_2X_2 + \beta_3X_3 + \mu$….. (1), where i = (1, 2, . . . ,i). So, Where Y_i is the ith observation of the dependent variable, X_{1i}, X_{2i}… are the ith observation of the independent variables, α, β_1 to β_3 are the regression coefficients, μ_i is the error term. In line with the conceptual framework of the study and lessons learned from empirical literature, the model of the study is specified as follows:

FP = f(RM).......... (3.1)
where FP represents the financial performance

RM stands for risk management
f is the functional relation connecting RM to FP.

Since the study proxy financial performance return on assets (ROA) and risk management (RM) is of three (3) categories namely; credit risk (CR), operational risk (OR), and liquidity risk (LR), then;

FP = ROA........ (3.2)
RM = (OR, LR)......... (3.3)
Inserting (3.2) and (3.3) into (3.1) gives
ROA = f(OR, LR).......... (3.4)
The equation (3.4) above can be expressed in linear equation form as:
$ROA_{it} = \beta_0 + \beta_1OR_t + \beta_2LR_t + \mu_{it}$……. (3.5)

were,
β_0 is the constant term
β_1 to β_2 are coefficient to be estimated
μ_{it} is the error term

RESULTS AND DISCUSSION

This chapter deals with the presentation of results and their interpretation and it contains three sections. The first section presents descriptive analysis; the second section presents results of diagnostic tests on variables of the study; the third section presents the results of inferential statistics which constitute the main findings of this study.

Descriptive Statistics

Table 1 gives a synopsis of the descriptive statistics of the variables for twenty-five insurance companies from the year 2011 to 2017 with an aggregate of 175 perceptions. The table shows the mean, most extreme, least, and standard deviation for the dependent variable firms' performance (ROA) and independent variables (credit risk, liquidity risk, and operational risk).
The indication in Table 1 revealed the firms' performance as measured by return on asset, shows that listed insurance companies in Nigeria achieved 0.68% on average financial performance over the last seven years from 2011 to 2017. From the total sample, return on asset had a maximum value of 22.28% and a minimum of -60.59%. It means that the most profitable listed insurance company earned 22.28 of return on assets. Then again, a non-profitable listed insurance company lost a -60.59 return on assets and the value of return on asset deviate from its mean by 9.24%.

The average value for credit risk as measured by account receivables plus reinsurance assets plus other receivables to the net asset of listed insurance companies in Nigeria was 9177518 with a maximum of 67933934and a minimum of -3980935. It implies that there is a large amount of uncollectable balance which tends to have default risk. Besides, the listed insurance company of Nigeria has a maximum uncollected amount has 67933934 from the total receivable in the firm. On the other hand, listed insurance company who have minimum uncollected amount has -3980935 from the total receivable in the firm and the value of credit risk deviate from its mean by 8894446.

The normal estimation of the liquidity risk estimated by the current proportion was 1.751829. The normal worth demonstrates that for every one naira current risk, there were 1.751829 nairas current advantage for meet commitment. The most extreme and least values were 7.5and -1.29 respectively for the study period. It means that the most liquid listed insurance company has 7.5 to meet the obligation. However, listed insurance companies that have less liquid have -1.293714 to meet the obligation and the value of liquidity risk deviates from its mean by 1.44314.

The appropriate operational risk management of listed insurance companies in Nigeria had a mean score of 11.12449. However, the listed insurance company in Nigeria with the maximum score had 14.33 while the listed insurance company had 7.719 and the value of operational risk deviates from its mean by 1.113821.

Table 1: *Descriptive Statistics.*

	ROA	OR	LR	CR
Mean	0.006789	11.12449	1.751829	9177518.
Maximum	0.222840	14.33	7.5	67933934
Minimum	-0.605883	7.719	-1.293714	-3980935.
Std. Dev.	0.092409	1.113821	1.44314	8894446.
Observations	175	175	175	175

Test for Multicollinearity for Return on Assets

According to Brooks (2008) multicollinearity occurs whenever a few or the majority of the independent variables are exceptionally related to each other. On the off chance that multicollinearity happens, the relapse model is unfit to tell which autonomous factors are affecting the needy variable. Malhotra (2007) referenced that the multicollinearity issue exists when the relationship coefficient among logical factors is more noteworthy than 0.75. In any case, Brooks (2008) confirm that if the estimation of the connection coefficient alongside the independent variables is 0.8 or more, multicollinearity issues are said to exist.

The relationships of the independent variables have appeared in Table 2. Relationship results demonstrate every single free factor is underneath 0.75, which shows that multicollinearity isn't an issue for this investigation.

Table 2: *Correlation for independent variables.*

	OR	*CR*	*LR*
OR	1		
CR	0.276752	1	
LR	-0.0152	-0.0544	1

Source: E-views 9

Test for Autocorrelation-Wooldridge Test

This assumption of autocorrelation states that the covariance between the error term after some time (or cross sectionals, for that sort of information) is zero. On the other hand, it is expected that the errors are uncorrelated with each other. On the off chance that the blunders are not uncorrelated with each other, it would be expressed that they are auto connecting or that they are successively associated (Brooks, 2008). Therefore, the null hypothesis for the autocorrelation is stated as:

H_0: errors are uncorrelated with each another
H_1: errors are related to each another

From Table 3, the f-statistic of the test shows that the elective speculation of autocorrelation ought not to be rejected since the p-values are considerably less than the 0.05. The conclusion from this version of the test indicates there is no serial correlation in the data collected. This implies that the data can be used for further statistical analysis.

Table 3: *Wooldridge test for autocorrelation.*

F (1, 6)	0.214	Prob > F	0.0103

Source: E-views 9

Test for Heteroskedasticity

According to Brooks (2008), if the variance of the errors is constant, it implies that the data is homoscedastic. On the off chance that the errors don't have a steady difference, it views as heteroskedastic. On the off chance that heteroskedasticity happens, the estimator of the common least-square strategy is awkward and theory testing is never again trustworthy or official as it will underestimate the variances and standard errors.

H_0: variance of the error is heteroskedasticity

H_1: variance of the error is homoscedasticity

This examination tried the elective speculation that the information gathered was heteroskedastic in fluctuation utilizing the Bruisch Pagan test. The aftereffect of the test realistic in Table 4 uncovered that the test measurements was 60.28 while the p-esteem was 0.00 showing that the information gathered was heteroskedastic in fluctuation and consequently requesting the dismissal of an invalid theory that the information gathered was homoscedastic invariance.

Table 4: *Breusch-Pagan / Cook-Weisberg test for heteroskedasticity.*

Test Statistics	Degree of Freedom	Prob
60.28	3	0.0000

Source: E-views 9

Correlation Analysis Results

According to Oyerogba, *et al.* (2016) correlation estimates the level of direct implication between variables. Estimations of the connection coefficient dependably extend among +1 and -1. A relationship coefficient of +1 shows the presence of an ideal positive relationship between the variables, while a connection coefficient of - 1 demonstrates flawless negative affiliation. A connection coefficient of zero, then again, demonstrates the nonattendance of (relationship) between the variables (Brooks, 2008). The Table 5 underneath demonstrates the connection lattice among the dependent and independent variables.

The correlation result in Table 5 shows operational risk, credit risk, and liquidity risk have a positive correlation with return on asset for measurement of Nigeria listed insurance companies' financial performance. This implies that when the risk of an insurance company is properly managed, the financial performance of Nigerian insurance companies will go up (the higher the risk = higher ROA). The coefficient estimates of correlation in the Table 5 shows 0.6125, 0.2796, and 0.0351 for operational risk, credit risk, and liquidity risk respectively. This implies that operational risk, credit risk, and liquidity risk are positively correlated with return on asset.

***Table 5**: Correlation Matrix of all Variables (Dependent [ROA] and Independent [OR, CR and LR]).*

	ROA	OR	CR	LR
ROA	1.0000			
OR	0.6125	1.0000		
CR	0.2796	0.2768	1.0000	
LR	0.0351	-0.0152	-0.0544	1.0000

Source: E-views 9

REGRESSION ANALYSIS

This segment entails the experimental discoveries from the statistical analysis of the regression. The regression adopted Panel Corrected Standard Errors estimator. Table 6 revealed the regression results between the dependent variable and independent variables.

The R-squared worth estimates how well the relapse model clarifies the genuine varieties in the reliant variable (Brooks, 2008). R-squared insights of the model were 18.2%. In this manner, these variables all are insufficient logical variables to distinguish the impact of risk management on the financial performance of listed insurance companies. The regression F-statistic (33.75) and the p-estimation of zero appended to the test measurement uncover that the invalid speculation that the majority of the coefficients are mutually zero ought to be rejected. In this manner, it suggests that the independent variables in the model had the option to clarify varieties in the reliant variable. The coefficient for CR is 0.0181181 on ROA which demonstrates that the credit risk of the protections had a positive association with ROA and the relationship is critical at 5% dimension of huge. Alongside this, the coefficient for LR is 0.0123241 on ROA which alludes that liquidity risk had positive and significant relation with ROA at a 5% level of significance. Finally, an operational risk with a coefficient of 0.0316899 had positive and significant relation with ROA at a 5% level of significance.

Table 6: *Estimated Model Parameters for Return on Assets.*

Panel-corrected	ROA	Coef.	Std. Err.	zP>|z|	[95% Conf. Interval]	
LR	0.0123241	0.0047596	2.59	0.010	0.0029954	0.0216529
CR	0.0181181	0.0092228	1.96	0.049	0.0000418	0.0361943
OR	0.0316899	0.0075143	4.22	0.000	0.0169622	0.0464175
-Cons	-0.6575501	0.14314541	-4.59	0.000	-0.9381099	-0.3769903

Prais-Winsten regression, correlated panels corrected standard errors (PCSEs)
Group variable : firm1
Number of obs = 175
Time variable : year
Number of groups = 25
Panels : correlated (balanced)
Obs per group : min = 7
Autocorrelation : common AR(1)
avg = 7
max = 7
Estimated covariances = 325
R-squared = 0.1820
Estimated autocorrelations = 1
Wald chi2(2) = 33.75
Estimated coefficients = 4
Prob> chi2 = 0.0000

RHO | 0.3524873

Source: E-views 9

DISCUSSION OF FINDINGS

The research was carried out to examine the impact of risk management on the financial performance of listed insurance companies in Nigeria. To achieve the objective, three hypotheses were put to test and were:

Hypothesis 1 – Operational Risk has a Positive and Statistically Significant Influence on the ROA of Listed Insurance Companies in Nigeria

According to the regression result, operational risk has a positive significant influence on the return on assets of listed insurance companies with a beta coefficient of 0.0316899 and the t-statistics of 4.22. This implies that listed insurance companies in Nigeria have adequate or successful internal processes, people, and systems or from an external event. This result supported the finding of Hackston and Milne (1992) that as financial specialists search for creating economies to broaden their speculation accumulations to expand returns, they are similarly worried about administration elements to limit chances in these economies. Additionally, Clark's hypothesis of gainfulness connection organization's benefit to the administrative capacity to deflect extortion through adequate interior control gadget (Benson, 2005).

Hypothesis 2 – Credit Risk has a Positive and Statistically Significant Influence on the ROA of Listed Insurance Companies in Nigeria

According to the regression result, credit risk has a positive significant influence on the return on assets of listed insurance companies with a beta coefficient of 0.0181181 and the t-statistics of 1.96. This implies that the listed insurance companies in Nigeria have been able to meet the undertakings they enter into (foremost among them is the payment of benefits to policyholders) and maintained their stability over time. The result was in the affirmative with those of Ben-Naceur and Omran (2008) that detailed that organization's capitalization and credit risk have a significant and positive effect on net intrigue edge, cost proficiency, and benefit of organizations.

Hypothesis 3 – Liquidity Risk has a Positive and Statistically Significant Influence on the Financial Performance (ROA) of Listed Insurance Companies in Nigeria

According to the regression result, liquidity risk has a positive significant influence on the return on assets of listed insurance companies with a beta coefficient of 0.0123241 and at-statistics of 2.59. The study finding implies that the listed insurance companies in Nigeria have sufficient financial resources available to enable them to meet their obligations as they fall due, or can secure them only at excessive cost. Simply, the companies hold a higher level of assets than liabilities. These findings are consistent with Arif & Showket (2015); Amal (2012) and Suheyli (2015)) concluded that liquidity risk has a positive and significant association with the performance of insurance companies who argue that the more liquid insurance company can get the better they meet their claims.

CONCLUSION

The study specifically examines the influence of risk management on the financial performance of listed insurance companies in Nigeria. As the case may be, the regression results show operational risk, liquidity risk and credit risk has a positive and significant influence on the return on assets of listed insurance companies in Nigeria. This signifies that if the risk is well managed in the listed insurance companies it would influence the financial performance of the listed insurance companies. The more risk management is well managed, the higher the return of the listed insurance companies.

Limitation to the Studies and Suggestion for Further Studies

The study limiting factor is that influence of risk management on the financial performance of listed insurance companies in Nigeria is a new research focus; therefore, there is limited literature on the area. Also, the non-listed insurance companies not included in the study are another limiting factor.

This examination just considered the influence of risk management on the financial performance of listed insurance companies in Nigeria. Notwithstanding, it is prescribed for future analysts to further look at the effective risk management on the financial performance of the whole insurance agencies in Nigeria. Future researchers should also examine other variables of risk management on the financial performance of listed insurance companies in Nigeria to reveal a wide explanation of the impact of risk management on the financial performance of insurance companies in Nigeria. Finally, there should be examining of other variables of financial performance to measure its influence on risk management.

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